CAG

DEMOCRATIC AUDIT PURPOSE AND → ARTICLES 148-151 CONSTITUTIONAL SPINE → APPOINTMENT TENURE REMOVAL AND → AUDIT ACCOUNTS AND THE → PUBLIC FUNDS RECEIPTS GRANTS → FINANCIAL COMPLIANCE PROPRIETY AND

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

● PRIMARY CORE FLOW ● SUBORDINATE EXTRA ● APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artifacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • active generation g3 • explicit approval of this exact generation is required • all prior artifacts unchanged

00

STAGE 00

DEMOCRATIC AUDIT PURPOSE AND ACCOUNTABILITY CHAIN

DEMOCRATIC AUDIT PURPOSE AND ACCOUNTABILITY CHAIN · LEGISLATURE AUTHORISES TAX, APPROPRIATION AND PUBLIC PURPOSES · EXECUTIVE COLLECTS · CAG TESTS INDEPENDENT EVIDENCE · PRESIDENT OR GOVERNOR CAUSES REPORT TO BE LAID · LEGISLATURE SCRUTINISES · EXECUTIVE RESPONDS · AUDIT INFORMS CONTROL IT DOES NOT GOVERN, PUNISH OR

LEGISLATURE AUTHORISES tax, appropriation and public purposes

EXECUTIVE COLLECTS / SPENDS / RECORDS → CAG TESTS INDEPENDENT EVIDENCE → President or Governor causes report to be laid

CONSTITUTIONAL BASIS / ARTICLE

- LEGISLATURE AUTHORISES tax, appropriation and public purposes
- EXECUTIVE COLLECTS / SPENDS / RECORDS

POWER / PROCEDURE

- CAG TESTS INDEPENDENT EVIDENCE
- President or Governor causes report to be laid

CHECK / LIMIT

- PAC / CoPU / legislature scrutinises → executive responds
- LIMIT: audit informs control; it does not govern, punish or recover by itself.

FEDERAL / RIGHTS IMPACT

- LEGISLATURE AUTHORISES tax, appropriation and public purposes
- EXECUTIVE COLLECTS / SPENDS / RECORDS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT: audit informs control; it does not govern, punish or recover by itself.

01

STAGE 01

ARTICLES 148-151 CONSTITUTIONAL SPINE

ARTICLES 148-151 CONSTITUTIONAL SPINE · ARTICLE 148 · OFFICE, OATH, REMOVAL SAFEGUARDS, IAAD AND CHARGED EXPENSES · ARTICLE 149 · DUTIES AND POWERS PRESCRIBED BY OR UNDER PARLIAMENTARY LAW · ARTICLE 150 · PRESIDENT PRESCRIBES UNION/STATE ACCOUNT FORM ON CAG ADVICE · ARTICLE 151

ARTICLE 148 — office, oath, removal safeguards, IAAD and charged expenses → ARTICLE 149 — duties and powers prescribed by or under parliamentary law → ARTICLE 150 — President prescribes Union/State account form on CAG advice → ARTICLE 151 — CAG → President/Governor → legislature → TRAP: the Constitution neither states the six-year/65 rule nor lists every audit type.

CONSTITUTIONAL BASIS / ARTICLE

- ARTICLE 148 — office, oath, removal safeguards, IAAD and charged expenses
- ARTICLE 149 — duties and powers prescribed by or under parliamentary law

POWER / PROCEDURE

- ARTICLE 150 — President prescribes Union/State account form on CAG advice
- ARTICLE 151 — CAG → President/Governor → legislature

CHECK / LIMIT

- TRAP: the Constitution neither states the six-year/65 rule nor lists every audit type.
- ARTICLE 148 — office, oath, removal safeguards, IAAD and charged expenses

FEDERAL / RIGHTS IMPACT

- ARTICLE 149 — duties and powers prescribed by or under parliamentary law
- ARTICLE 150 — President prescribes Union/State account form on CAG advice

MECHANISM / VERDICT — TRAP: the Constitution neither states the six-year/65 rule nor lists every audit type.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: the Constitution neither states the six-year/65 rule nor lists every audit type.

02

STAGE 02

APPOINTMENT TENURE REMOVAL AND INDEPENDENCE

APPOINTMENT TENURE REMOVAL AND INDEPENDENCE · PRESIDENT, WARRANT UNDER HAND AND SEAL · PRESIDENT OR NOMINEE; THIRD SCHEDULE · DPC ACT SECTION 4 · SIX YEARS OR AGE 65, WHICHEVER EARLIER · SAME MANNER AND GROUNDS AS SUPREME COURT JUDGE · NO DISADVANTAGEOUS VARIATION; CHARGED OFFICE EXPENSES; NO FURTHER OFFICE · STRONG POST-APPOINTMENT PROTECTION DOES NOT ANSWER SELECTION-PROCESS CRITICISM.

APPOINTMENT → President, warrant under hand and seal

OATH → President or nominee; Third Schedule → TENURE → DPC Act section 4: six years or age 65, whichever earlier → REMOVAL → same manner and grounds as Supreme Court Judge

CONSTITUTIONAL BASIS / ARTICLE

- APPOINTMENT → President, warrant under hand and seal
- OATH → President or nominee; Third Schedule

POWER / PROCEDURE

- TENURE → DPC Act section 4: six years or age 65, whichever earlier
- REMOVAL → same manner and grounds as Supreme Court Judge

CHECK / LIMIT

- INSULATION → no disadvantageous variation; charged office expenses; no further office
- LIMIT: strong post-appointment protection does not answer selection-process criticism.

FEDERAL / RIGHTS IMPACT

- APPOINTMENT → President, warrant under hand and seal
- OATH → President or nominee; Third Schedule

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT: strong post-appointment protection does not answer selection-process criticism.

03

STAGE 03

AUDIT ACCOUNTS AND THE 1976 BOUNDARY

AUDIT ACCOUNTS AND THE 1976 BOUNDARY · ACCOUNTS CREATE AND COMPILE THE FINANCIAL RECORD · AUDIT INDEPENDENTLY TESTS RECORDS AND TRANSACTIONS · 1976 UNION DEPARTMENTALISATION · MINISTRIES ASSUMED MUCH UNION COMPILATION · DPC ACT SECTIONS 10-12 · RESIDUAL ACCOUNTS ROLES WHERE RESPONSIBILITY REMAINS · DPC ACT SECTIONS 13-20

CONSTITUTIONAL BASIS / ARTICLE

- ACCOUNTS create and compile the financial record
- AUDIT independently tests records and transactions

POWER / PROCEDURE

- 1976 UNION DEPARTMENTALISATION → ministries assumed much Union compilation
- DPC ACT SECTIONS 10-12 → residual accounts roles where responsibility remains

CHECK / LIMIT

- DPC ACT SECTIONS 13-20 → audit mandate continues
- INDIA: predominantly ex-post auditor, not routine pre-withdrawal comptroller.

FEDERAL / RIGHTS IMPACT

- ACCOUNTS create and compile the financial record
- AUDIT independently tests records and transactions

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: INDIA: predominantly ex-post auditor, not routine pre-withdrawal comptroller.

04

STAGE 04

PUBLIC FUNDS RECEIPTS GRANTS AND ACCESS

PUBLIC FUNDS RECEIPTS GRANTS AND ACCESS · SECTION 13 · CONSOLIDATED FUND EXPENDITURE AND FUND TRANSACTIONS · SECTION 14 · SUBSTANTIALLY FINANCED BODIES UNDER STATUTORY TESTS · SECTION 15 · SPECIFIC-PURPOSE GRANTS/LOANS AND SANCTIONING PROCEDURES · SECTION 16

CONSTITUTIONAL BASIS / ARTICLE

- SECTION 13 — Consolidated Fund expenditure and fund transactions
- SECTION 14 — substantially financed bodies under statutory tests

POWER / PROCEDURE

- SECTION 15 — specific-purpose grants/loans and sanctioning procedures
- SECTION 16 — receipts payable into Consolidated Funds

CHECK / LIMIT

- SECTION 17 — stores and stock
- SECTION 18 — records and information

FEDERAL / RIGHTS IMPACT

- TEST: entity → public-money nexus → legal gateway → proportionate record access
- SECTION 13 — Consolidated Fund expenditure and fund transactions

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TEST: entity → public-money nexus → legal gateway → proportionate record access.

05

STAGE 05

FINANCIAL COMPLIANCE PROPRIETY AND PERFORMANCE AUDIT

FINANCIAL COMPLIANCE PROPRIETY AND PERFORMANCE AUDIT · IS FINANCIAL INFORMATION FAIRLY PRESENTED? · WERE LAW, SANCTION, RULE AND CONTRACT FOLLOWED? · WAS DISCRETION FAITHFUL, PRUDENT AND ECONOMICAL? · ECONOMY + EFFICIENCY + EFFECTIVENESS · SPECIALISED OBJECTS OR METHODS WITHIN LEGAL MANDATE · TEST IMPLEMENTATION AND RESULTS; DO NOT REPLACE A LAWFUL

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
FINANCIAL — is financial information fairly presented?	PROPRIETY — was discretion faithful, prudent and economical?	RECEIPTS / IT / ENVIRONMENT — specialised objects or methods within legal mandate	FINANCIAL — is financial information fairly presented?
COMPLIANCE — were law, sanction, rule and contract followed?	PERFORMANCE — economy + efficiency + effectiveness	BOUNDARY: test implementation and results; do not replace a lawful policy choice.	COMPLIANCE — were law, sanction, rule and contract followed?

CONSTITUTIONAL BASIS / ARTICLE

- FINANCIAL — is financial information fairly presented?
- COMPLIANCE — were law, sanction, rule and contract followed?

POWER / PROCEDURE

- PROPRIETY — was discretion faithful, prudent and economical?
- PERFORMANCE — economy + efficiency + effectiveness

CHECK / LIMIT

- RECEIPTS / IT / ENVIRONMENT — specialised objects or methods within legal mandate
- BOUNDARY: test implementation and results; do not replace a lawful policy choice.

FEDERAL / RIGHTS IMPACT

- FINANCIAL — is financial information fairly presented?
- COMPLIANCE — were law, sanction, rule and contract followed?

MECHANISM / VERDICT — COMPLIANCE — were law, sanction, rule and contract followed?

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: COMPLIANCE — were law, sanction, rule and contract followed?.

06

STAGE 06

GOVERNMENT COMPANIES AND STATUTORY CORPORATIONS

GOVERNMENT COMPANIES AND STATUTORY CORPORATIONS · GOVERNMENT COMPANY · COMPANIES ACT SECTION 139 · CAG APPOINTS STATUTORY AUDITOR SECTION 143 · DIRECTIONS, SUPPLEMENTARY AUDIT/COMMENTS AND TEST AUDIT · STATUTORY CORPORATION ESTABLISHING LAW + DPC ACT SECTION 19 · OWNERSHIP LABEL ALONE DOES NOT ESTABLISH IDENTICAL CAG COVERAGE.

GOVERNMENT COMPANY

Companies Act section 139 → CAG appoints statutory auditor section 143 → directions, supplementary audit/comments. → STATUTORY CORPORATION establishing law + DPC Act section 19 determine the route → TRAP: ownership label alone does not establish identical CAG coverage.

CONSTITUTIONAL BASIS / ARTICLE

- GOVERNMENT COMPANY
- Companies Act section 139 → CAG appoints statutory auditor section 143 → directions, supplementary audit/comments and test audit

POWER / PROCEDURE

- STATUTORY CORPORATION establishing law + DPC Act section 19 determine the route
- TRAP: ownership label alone does not establish identical CAG coverage.

CHECK / LIMIT

- GOVERNMENT COMPANY
- Companies Act section 139 → CAG appoints statutory auditor section 143 → directions, supplementary audit/comments and test audit

FEDERAL / RIGHTS IMPACT

- STATUTORY CORPORATION establishing law + DPC Act section 19 determine the route
- TRAP: ownership label alone does not establish identical CAG coverage.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ownership label alone does not establish identical CAG coverage.

07

STAGE 07

PRIVATE ENTITIES PPPS AND REVENUE NEXUS

PRIVATE ENTITIES PPPS AND REVENUE NEXUS · PRIVATE STATUS DOES NOT BAR OR CREATE AUDIT · SECTIONS 14 · 20 OR A SPECIAL LAW MUST SUPPLY THE GATEWAY · PPP AUDIT FOLLOWS GRANTS, GUARANTEES, ASSETS, USER FEES OR · TELECOM CASE (2014) · RECORDS NEEDED TO VERIFY UNION REVENUE SHARE COULD BE · AUDIT OF THE PUBLIC NEXUS IS NOT UNIVERSAL AUDIT

CONSTITUTIONAL BASIS / ARTICLE

- PRIVATE STATUS DOES NOT BAR OR CREATE AUDIT
- Sections 14 / 15 / 16 / 20 or a special law must supply the gateway

POWER / PROCEDURE

- PPP audit follows grants, guarantees, assets, user fees or revenue share only as authorised
- TELECOM CASE (2014) → records needed to verify Union revenue share could be accessed

CHECK / LIMIT

- LIMIT: audit of the public nexus is not universal audit of unrelated private business.
- PRIVATE STATUS DOES NOT BAR OR CREATE AUDIT

FEDERAL / RIGHTS IMPACT

- Sections 14 / 15 / 16 / 20 or a special law must supply the gateway
- PPP audit follows grants, guarantees, assets, user fees or revenue share only as authorised

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT: audit of the public nexus is not universal audit of unrelated private business.

08

STAGE 08

LOCAL BODIES AND FEDERAL AUDIT VARIATION

LOCAL BODIES AND FEDERAL AUDIT VARIATION · ARTICLES 243J · STATE LEGISLATURES PROVIDE LOCAL-ACCOUNT AUDIT ARRANGEMENTS · STATE LAW · PRIMARY AUDITOR AND PROCEDURE MAY VARY · DIRECT STATUTORY/ENTRUSTED AUDIT WHERE APPLICABLE · TECHNICAL GUIDANCE AND SUPPORT · CAPACITY AND STANDARDISATION ROUTE

ARTICLES 243J / 243Z → State legislatures provide local-account audit arrangements

STATE LAW — primary auditor and procedure may vary → CAG — direct statutory/entrusted audit where applicable → TECHNICAL GUIDANCE AND SUPPORT — capacity and standardisation route

CONSTITUTIONAL BASIS / ARTICLE

- ARTICLES 243J / 243Z — State legislatures provide local-account audit arrangements
- STATE LAW — primary auditor and procedure may vary

POWER / PROCEDURE

- CAG — direct statutory/entrusted audit where applicable
- TECHNICAL GUIDANCE AND SUPPORT — capacity and standardisation route

CHECK / LIMIT

- FINANCE COMMISSION LINK → local grants require traceable accounts and audit
- TRAP: India has no single uniform constitutional CAG audit model for every local body.

FEDERAL / RIGHTS IMPACT

- ARTICLES 243J / 243Z — State legislatures provide local-account audit arrangements
- STATE LAW — primary auditor and procedure may vary

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: India has no single uniform constitutional CAG audit model for every local body.

09

STAGE 09

REPORTS PAC COPU AND LEGISLATIVE FOLLOW-UP

REPORTS PAC COPU AND LEGISLATIVE FOLLOW-UP · BOTH HOUSES · STATE LEGISLATURE · FINANCE ACCOUNTS AND RELEVANT CAG REPORTS · PUBLIC UNDERTAKINGS AND RELATED CAG REPORTS · ACTION-TAKEN RESPONSE · CAG ASSISTS TECHNICALLY; REPORT · COMMITTEE CONCLUSION

UNION: CAG — President — both Houses → STATE: CAG — Governor — State legislature → PAC — appropriation / finance accounts and relevant CAG reports → CoPU — public undertakings and related CAG reports → COMMITTEE — evidence → finding → action-taken response → follow-up

CONSTITUTIONAL BASIS / ARTICLE

- UNION: CAG — President — both Houses
- STATE: CAG — Governor — State legislature

POWER / PROCEDURE

- PAC — appropriation / finance accounts and relevant CAG reports
- CoPU — public undertakings and related CAG reports

CHECK / LIMIT

- COMMITTEE — evidence → finding → action-taken response → follow-up
- CAG assists technically; report != committee conclusion != automatic liability.

FEDERAL / RIGHTS IMPACT

- UNION: CAG — President — both Houses
- STATE: CAG — Governor — State legislature

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CAG assists technically; report != committee conclusion != automatic liability.

10

STAGE 10

JUDICIAL CONTROLS AND LEGAL LIMITS

JUDICIAL CONTROLS AND LEGAL LIMITS · ARVIND GUPTA (2012) · PERFORMANCE AUDIT AND THE THREE Es SUPPORTED · S. SUBRAMANIAN BALAJI (2013) · POST-EXPENDITURE LEGALITY, VALIDITY AND PROPRIETY · ARUN KUMAR AGRAWAL (2013) · CAG REPORT RESPECTED BUT LEGISLATIVE SCRUTINY REMAINS · ASSOCIATION OF UNIFIED TELECOM SERVICE PROVIDERS OF INDIA V.

ARVIND GUPTA (2012) — performance audit and the three Es supported

S. SUBRAMANIAM BALAJI (2013) — post-expenditure legality, validity and propriety → ARUN KUMAR AGRAWAL (2013) — CAG report respected but legislative scrutiny remains → Association of Unified Telecom Service Providers of India v. Union of India (2014) — revenue-share

CONSTITUTIONAL BASIS / ARTICLE

- ARVIND GUPTA (2012) — performance audit and the three Es supported
- S. SUBRAMANIAM BALAJI (2013) — post-expenditure legality, validity and propriety

POWER / PROCEDURE

- ARUN KUMAR AGRAWAL (2013) — CAG report respected but legislative scrutiny remains
- Association of Unified Telecom Service Providers of India v. Union of India (2014) — revenue-share access, not universal private audit

CHECK / LIMIT

- SYNTHESIS: broad evidence role + ex-post timing + no adjudicatory finality.
- ARVIND GUPTA (2012) — performance audit and the three Es supported

FEDERAL / RIGHTS IMPACT

- S. SUBRAMANIAM BALAJI (2013) — post-expenditure legality, validity and propriety
- ARUN KUMAR AGRAWAL (2013) — CAG report respected but legislative scrutiny remains

MECHANISM / VERDICT — SYNTHESIS: broad evidence role + ex-post timing + no adjudicatory finality.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: broad evidence role + ex-post timing + no adjudicatory finality.

11

STAGE 11

COMPARISON REFORM PYQ ROUTES AND ANSWER SPINE

COMPARISON REFORM PYQ ROUTES AND ANSWER SPINE · CONSTITUTIONAL AUDIT · UNION EXECUTIVE ACCOUNTING · FINANCE COMMISSION · ARTICLE 280 TRANSFERS · ARTICLE 279 NET PROCEEDS CERTIFICATE · TRANSPARENT SELECTION + SECURE DATA + PPP CLAUSES + · PYQ 2018

CAG — constitutional audit → CGA — Union executive accounting → FINANCE COMMISSION — Article 280 transfers → CAG — Article 279 net proceeds certificate → REFORM — transparent selection + secure data + PPP clauses + timely tabling/follow-up

CONSTITUTIONAL BASIS / ARTICLE

- CAG — constitutional audit
- CGA — Union executive accounting
- FINANCE COMMISSION — Article 280 transfers

POWER / PROCEDURE

- CAG — Article 279 net proceeds certificate
- REFORM — transparent selection + secure data + PPP clauses + timely tabling/follow-up
- PYQ 2018 — appointment, terms and powers

CHECK / LIMIT

- PYQ 2024 — legality plus propriety
- MAINS SPINE: independence → mandate → audit type/entity route → report chain
- limit → targeted reform → evidence-led accountability verdict.

FEDERAL / RIGHTS IMPACT

- CAG — Article 279 net proceeds certificate

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: limit → targeted reform → evidence-led accountability verdict.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · COMPARATIVE AND INSTITUTIONAL ENRICHMENT · [ANALYSIS] THE BRITISH COMPARISON IS USEFUL ONLY FOR THE · INDIA DOES NOT ORDINARILY REQUIRE CAG AUTHORISATION · IT DOES NOT PROVE THAT INDIAN AUDIT IS INSTITUTIONALLY · [ANALYSIS] PAUL APPLEBY'S CRITICISM OF TRADITIONAL AUDIT AS NEGATIVE · EFFICIENCY-VERSUS-CONTROL DEBATE, BUT IT IS NOT A LEGAL LIMIT · [CURRENT] REMOTE AUDIT, SECURE DATA INTERFACES AND ANALYTICS CAN

OPTIONAL DOCTRINE / CASE

- Comparative and institutional enrichment
- [ANALYSIS] The British comparison is useful only for the ex-ante/ex-post distinction: India does not ordinarily require CAG authorisation
- It does not prove that Indian audit is institutionally weak.
- [ANALYSIS] Paul Appleby's criticism of traditional audit as negative may introduce the

ADVANCED LIMIT

- efficiency-versus-control debate, but it is not a legal limit on the CAG.
- [CURRENT] Remote audit, secure data interfaces and analytics can improve risk selection and timeliness
- every flagged anomaly still requires lawful jurisdiction, auditable evidence and human verification.
- [LIMIT] Appointment reform, PPP clauses and stronger local-body audit are proposals or design choices.

COMPARATIVE NUANCE

- Do not present them as existing constitutional commands.
- Comparative and institutional enrichment - [ANALYSIS] The British comparison is useful only for
- the ex-ante/ex-post distinction: India does not ordinarily require CAG authorisation before each withdrawal.

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels